IN THE SUPREME COURT OF THE STATE OF MONTANA

DA 23-0575

RIKKI HELD, ET AL.,
Plaintiffs and Appellees,

v.

STATE OF MONTANA, ET AL.
Defendants and Appellants.

On appeal from the Montana First Judicial District Court, Lewis and Clark County
Cause No. DDV 2013–407, the Honorable Kathy Seeley, Presiding

APPELLANT STATE AGENCIES' AND GOVERNOR'S RULE 22 MOTION FOR STAY OF ORDER PENDING APPEAL

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INTRODUCTION AND BACKGROUND

Appellant State Agencies and the Governor move for a stay of the District Court's Findings of Fact and Conclusions of Law and Order. App. 012, Doc. 405. With over 400 docket entries, this case has a tail too long to describe in a ten-page motion. In short, sixteen youth filed a constitutional challenge to a provision of MEPA, § 75-1-201(2)(a), MCA, which limits Appellants' consideration of greenhouse gas (GHG) emissions and climate impacts in their MEPA analyses.

The District Court ultimately held that Plaintiffs had justiciable claims and the statute violated Plaintiffs' constitutional right to a clean and healthful environment by contributing to Montana and global GHG emissions and climate impacts. App. 112-113, Doc. 405. The District Court was the first court to extend the constitutional right to a clean and healthful environment to global climate change. The appeal of that decision raises several novel issues for this Court to decide. This motion, however, concerns what must be done meanwhile, and specifically whether Appellants must evaluate GHG emissions and climate impacts in MEPA analyses.

Early in the case, the District Court seemed to agree that ordering Appellants to determine if, when, and how to make those evaluations exceeded its authority. Plaintiffs originally sought far-reaching injunctive relief requiring the State to

implement a remedial plan to reduce GHG emissions and conduct an accounting for GHG emissions in Montana. The District Court dismissed those claims because they "would require the court to make or evaluate complex policy decision[s] entrusted to the discretion of other governmental branches," and thus exceeded the Court's power. App. 170; Doc. 46 at 21. The court repeatedly determined that it had no authority to require state agencies to evaluate GHG emissions or climate impacts in its MEPA reviews.[1] The relief it contemplated was far narrower: whether a statute prohibiting that analysis was constitutional. *See*, App. 128, Doc. 379 at 14, 18.; App. 148, Doc. 217 at 7. In its Order declaring the statute unconstitutional, the District Court did not say state agencies were required to begin accounting for GHG emissions and climate impacts in every MEPA review.

Plaintiffs, however, read the Court's order to require exactly that. Soon after the Court's decision, Plaintiffs sent DEQ two letters demanding that the order required DEQ to "calculate the GHG emissions that will result from proposed projects" and threatened the agency with contempt if it did not comply. App. 223; *see also id.* ("Every additional fossil fuel permit approved by DEQ that causes an increase in GHG emissions is a violation of the constitutional rights of the youth

[1] The only issue before the court was whether MEPA provision 75-1-2-1(2)(a), MCA was facially constitutional. The issue of whether DEQ should analyze GHGs and climate change analyses in its permitting decisions was not.

Plaintiffs in Held" and "[e]very ton of GHG emissions exacerbates the injuries and constitutional violations."). Even Plaintiffs evidently are confused by the order.

After receiving the letters, Appellants sought clarification and a stay from the District Court to ensure that it was not in contempt and had discretion to determine if, when, and how to evaluate GHG emissions and climate impacts in its MEPA analysis. App. 175; Doc. 423. The District Court denied the motion, and in doing so, added to the existing confusion. On one hand, the Court stated in its order that it did not order Appellants to implement a remedial climate recovery plan. App. 005, Doc. 432 at 5. But then the Court indicated that is precisely what its Order effectively requires Appellants to do because it "requires that these statutory functions [e.g., MEPA analysis] are carried out in a constitutional manner," including "analyzing GHG emissions and climate change impacts in environmental reviews." App. 006, Doc. 432 at 6; *see also id.*, 7; *id.*, 8 ("Any additional resources required by Defendants to comply with their statutory and constitutional obligations are part of their obligation to comply with the law, including Montana's Constitution.").

This Court should stay the District Court's August 14, 2023 Decision and Order pending final resolution of the appeal. Appellants explained in briefing and a lengthy declaration the complexity of the analysis and the harms that would ensue

if they must immediately implement a rushed GHG emissions and climate impacts analysis for MEPA review for every state action. App. 181; 202; 283. On top of the practical complications, ordering such a sweeping overhaul of the State's regulatory system is beyond the courts' authority. What is more, evaluating GHG emissions and climate impacts in MEPA analysis will not alleviate Plaintiffs' alleged harms because MEPA is a procedural statute. MEPA does not authorize Appellants to deny or modify permit applications based on a MEPA review. *See* § 75-1-102(3)(b); § 75-1-201(4)(a).

In its 2020 *Park County Environmental Council v. DEQ* decision, this Court deferred the difficult exercise of describing the parameters of the right to a clean and healthful environment and the judiciary's role in that question. The District Court was far less circumspect. It was the first court in Montana to conclude that the constitution's right to a clean and healthful environment requires the State to take active steps to respond to climate impacts. A stay is necessary because this Court should resolve the unprecedented issues in this appeal before such a massive regulatory disruption occurs.

LEGAL STANDARD

A stay pending appeal is justified upon showing "good cause." M.R. App. 22(a)(i). This Court "looks to" the factors federal courts use in assessing motions

for stay pending appeal. *Mont. Env't Info. Ctr. v. Westmoreland Rosebud Mining, LLC*, DA 22-0064, 2022 Mont. LEXIS 735 at *5 (Mont. Sup. Ct. Aug. 9, 2022) ("MEIC"). These factors are discussed below.

The purpose of a stay pending appeal is merely "to give the reviewing court the time to 'act responsibly,' rather than doling out 'justice on the fly.'" *Leiva-Perez v. Holder*, 640 F.3d 962, 967 (9th Cir. 2011) (quoting *Nken v. Holder*, 556 U.S. 418, 427 (2011)).

ARGUMENT

I. The appeal raises serious and unprecedented legal questions.

Appellants easily satisfy the first prong of the federal test, which requires the party seeking a stay to show "serious legal questions are raised." *Leiva-Perez v. Holder*, 640 F.3d 962, 968 (9th Cir. 2011).

This case raises many serious legal questions in an area where the law is far from settled. Before this case, no Montana court had ever addressed whether and how the constitutional right to a clean and healthful environment applies to global environmental issues like climate change. This Court recently left for another day the "difficult exercise of determining what attributes constitute a 'clean' or 'healthful' environment, or an 'unreasonable' amount of degradation, or what the judiciary's role should be in answering these questions." *Park Cnty. Envtl. Council*

v. Mont. Dept. of Envtl. Quality, 2020 MT 303, ¶ 78, 477 P.3d 288, 402 Mont. 168. But the District Court's Order runs headlong into these difficult questions.

To start, the District Court broke new ground in Montana jurisprudence, holding that the constitutional right to a clean and healthful environment requires the State to respond to climate change in some unspecified way. *See* App. 095-111 Doc. 405 at 84–100. And—based on this holding—the District Court concluded that one provision of MEPA (a procedural statute)—significantly contributes to global climate change. *Id.*

Additionally, the District Court's justiciability analysis stretched the judicial power beyond recognized limits. For example, the Court concluded that enjoining MCA § 75-1-201(2)(a) would redress Plaintiffs' injuries by ameliorating global climate change by some unspecified degree. *See* App. 100-101, Doc. 405 at 89–90. And by requiring state agencies to affirmatively account for climate change in every MEPA review, the Order "exceed[ed]" the District Court's authority "by overseeing analysis and decision-making that should be left to the 'wisdom and discretion of the legislative or executive branches.'" App. 170, Doc. 46 at 21 (quoting *Juliana v. State*, 947 F.3d 1159, 1171 (9th Cir. 2020)). That requirement violates the political question doctrine and effectively grants Plaintiffs the very

"remedial climate recovery plan" that the District Court found it lacked power to grant. App. 167-168; 170, Doc. 46 at 18–19; 21.

The District Court justified denying a stay by stating that Appellants had "identified no errors" with the ultimate legal conclusions in its August 14 Order. App. 005-006, Doc. 432 at 5–6. This was wrong on several counts. First, Appellants were not required to convince the District Court that it is "likely to be reversed on appeal" to obtain a stay. *See Strobel v. Moran Stanley Dean Witter*, No. 04CV1069BEN, 2007 WL 1238709, *1 (S.D. Cal. Apr. 24, 2007). Succeeding on a motion for stay pending appeal does not require the parties to "brief the merits of the case in depth." *Leiva-Perez*, 640 F.3d at 967. Under this standard, a stay is appropriate when a case involves novel and unsettled legal questions. *Maxcrest Limited v. United States*, No. 15-mc-802070, 2016 WL 6599463, *2 (N.D. Cal. November 7, 2016). Second, Appellants identified specific legal errors with the Order; that the Court exceeded its authority by effectively requiring Appellants to analyze GHG emissions and climate impacts in MEPA to redress Plaintiffs' constitutional injuries. *See, e.g.*, App.195-196; 287-289; 291-294. As Appellants pointed out, that is wrong because MEPA is only an information-gathering and disclosing statute, not a substantive permitting statute. No state agency can

"withhold, deny, or impose conditions on any permit or other authority to act" based on MEPA. § 75-1-201(4)(a).

This case raises novel questions about standing, causation, redressability, and the relationship between co-equal branches of Montana's government. These "unsettled questions of law present serious legal questions so as to demonstrate sufficient likelihood of success on a motion to stay." *Maxcrest Limited*, 2016 WL 6599463, *2.

II. Appellants will be injured without a stay.

Appellants also satisfy the second factor, which requires showing that the State's interests will be irreparably harmed without a stay. *Leiva-Perez*, 640 F.3d at 968. An order enjoining a duly-enacted statute always irreparably harms the State. *See Maryland v. King*, 567 U.S. 1301, 1303 (2012) ("[A]ny time a State is enjoined by a court from effectuating statutes enacted by representatives of its people, it suffers a form of irreparable injury.") (citation cleaned up); *Coal. for Econ. Equity v. Wilson*, 122 F.3d 718, 719 (9th Cir. 1997) ("a state suffers irreparable injury whenever an enactment of its people or their representatives is enjoined"). This is especially so if the district court not only enjoined a law enacted by the people's representatives, but also violated the separation of powers by imposing an extra-

statutory regulatory scheme to take its place. *See Cnty. of Santa Clara v. Trump*, 250 F. Supp. 3d 497, 538 (N.D. Cal. 2017).

Next, without a stay, Appellants must spend considerable resources to develop and implement methods for GHG and climate impacts analysis. App. 204-205, 208-212, Doc. 424 ¶¶ 6–7, 15–23. No one disputes that climate change is a complex global issue. This litigation is proof enough: the parties exchanged over 50,000 pages of documents, engaged in a seven-day trial, and the Court issued a 102-page Order on the topic. Because of its complexity, analyzing GHG emissions and climate impacts of a project is no easy task. And Appellants cannot implement methods for performing that analysis overnight; it must be thoughtful, evaluating when the analysis might apply, proper scoping, the extent of the analysis, and geographic limits. Otherwise, Appellants would be subject to potential litigation risk by parties who claim it is acting arbitrarily and capriciously by using a slipshod analysis cobbled together to avoid contempt or widespread litigation against State agencies' MEPA review and permitting decisions. Appellants have no way to recover these resources if the District Court is reversed, so these are irreparable injuries. *See E. Bay Sanctuary Covenant v. Biden*, 993 F.3d 640, 677–78 (9th Cir. 2021) (economic injuries for which a party has "no vehicle for recovery" are irreparable harm).

This Court has held that agencies should not have to implement district court orders before an appeal is completed, even for cases that do not concern judicial review of contested cases under the Montana Administrative Procedure Act. *See Grenz v. Mont. DNRC*, 2011 MT 17, ¶¶ 17–20, 359 Mont. 154, 248 P.3d 785. That principle has even more force here, where a hastily-developed GHG and climate impacts analysis will affect multiple agencies and reshape Appellants' MEPA review. *See*, App. 202, Doc. 424.

III. Plaintiffs will not be injured by a stay.

Third, Plaintiffs will not be harmed by a stay. *Leiva-Perez*, 640 F.3d at 970. While Plaintiffs insist that they suffer ongoing harms due to climate change, hastily implementing methods for analyzing GHG emissions during MEPA review will not relieve those harms. Climate change is a complex issue, and developing sound methods for analyzing it will take time. And even if DEQ could implement those methods overnight, MEPA does not let DEQ deny permits for "fossil fuel projects," or any projects. § 75-1-201(1)(b); 75-1-102(1)(a)–(b) & 3(b). Permitting will continue under the requirements of substantive permitting statutes, even if MEPA reviews include GHG emissions and climate change impacts analysis.

IV. The public interest favors a stay.

An order that violates the Constitution's hard limit on the separation of powers is always against the public interest. *Stormans, Inc. v. Selecky*, 586 F.3d 1109, 1139 (9th Cir. 2009). Second, immediately implementing GHG emissions and climate impacts analyses in every MEPA review would deprive the public of its right to notice and comment on a significant change. *See* §§ 2-4-302, -305, MCA. No one benefits from "justice on the fly" that disregards the complex issues this fundamental change to MEPA analysis raises. *Leiva-Perez*, 640 F.3d at 970. But all Montanans benefit from an orderly and thoughtful review of these unprecedented issues by this Court first.

CONCLUSION

For good cause shown, Appellants request a stay of the Order pending appeal.

DATED this 1st day of December, 2023.

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CERTIFICATE OF COMPLIANCE

Pursuant to Rule 11 of the Montana Rules of Appellate Procedure, I certify that this motion is printed with a proportionately spaced Times New Roman text typeface of 14 points; is double spaced except for footnotes and for indented material; and the word count is 2306, excluding those sections exempted under Rule 11(4)(d).

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I, Dale Schowengerdt, hereby certify that I have served true and accurate copies of the foregoing Motion - Opposed to the following on 12-01-2023:

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